Hyperion Australian Growth Companies Fund

Product Disclosure Statement

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1. About Hyperion Asset Management

Hyperion Asset Management Limited (ABN 80 080 135 897, AFSL 238380) is the investment manager of the Hyperion Australian Growth Companies Fund. Founded in 1996 in Brisbane, Hyperion is a specialist quality-growth equity manager with a singular focus on identifying and owning Australia's highest-quality businesses.

ABN	80 080 135 897
AFSL	238380
Founded	1996
Headquarters	Brisbane, QLD
Total AUM	AUD 8.3 billion
Ownership	Employee-owned (majority)

AFSL 238380 is current and in good standing. There are no enforceable undertakings issued by ASIC against Hyperion Asset Management. The firm has operated for 30 years with an unblemished regulatory record.

Hyperion's ownership structure is distinctive: the firm is majority employee-owned, with key investment staff holding significant equity stakes. This alignment of interest with clients is a core cultural value. The firm manages a single strategy (Australian equities) across different vehicle structures, ensuring complete focus.

2. Investment Philosophy & Process

The Hyperion Australian Growth Companies Fund is a high-conviction, concentrated portfolio of quality growth companies. The fund seeks to outperform the S&P/ASX All Ordinaries Accumulation Index over rolling 5-year periods through ownership of structural growth businesses at reasonable valuations.

Investment philosophy -- 'Modern Monopolies':

- Invest in businesses with sustainable competitive advantages ('economic moats') that enable above-average earnings growth for extended periods (10+ years)
- Quality of business is paramount: high returns on invested capital, strong management, large addressable markets, and network effects or switching costs
- Valuation discipline: only invest when the quality business is available at a reasonable price relative to its long-term intrinsic value growth
- Long holding periods: the power of compounding means the best returns come from holding truly great businesses for many years

Alpha Sources

Alpha is generated primarily from: (1) identifying quality businesses earlier than the market consensus recognises their structural growth potential, (2) maintaining conviction during short-term volatility when the market over-discounts temporary headwinds for quality companies, and (3) the compounding effect of owning businesses growing intrinsic value at 10-15% p.a. over very long periods.

Process Evolution

The investment process has remained remarkably consistent since Hyperion's founding in 1996. The core philosophy of owning quality growth businesses at reasonable prices has not changed. Key evolutions: (1) In 2010, formal integration of ESG considerations into quality assessment, recognising that poor ESG practices signal management quality issues. (2) In 2018, increased focus on 'digital moats' and network-effect businesses reflecting structural shift in economy. (3) In 2022, enhanced quantitative screening to more efficiently filter the research pipeline while maintaining fundamentally-driven final decisions.

3. Portfolio Construction

The fund is highly concentrated, reflecting Hyperion's conviction-based approach:

Target Holdings	15-30 stocks
Current Holdings	22
Typical Active Share	70-85%
Max Single Stock	10% at cost, 15% at market
Max Sector Weight	40%
Off-Benchmark Allowance	Up to 20% (ex-All Ords)
Cash Range	0-20%
Current Cash	8%

Position sizing reflects conviction: Tier 1 (highest conviction, 5-10%); Tier 2 (high conviction, 3-5%); Tier 3 (developing position, 1-3%). New positions start at Tier 3 and are built over 3-6 months as thesis develops.

The fund's concentration is intentional: Hyperion believes that dilution of capital across too many ideas reduces the benefit of owning truly exceptional businesses. However, concentration limits ensure no single position can permanently impair the portfolio.

Cash: Hyperion will hold elevated cash (up to 20%) when insufficient quality opportunities are available at reasonable prices. Cash is seen as a strategic asset providing optionality, not a drag on performance.

4. Benchmark & Objectives

Benchmark	S&P/ASX All Ordinaries Accumulation Index
Objective	Outperform benchmark by 4-5% p.a. (gross)
Time Horizon	Rolling 5-year periods
Risk Profile	Concentrated; expect higher short-term volatility

The S&P/ASX All Ordinaries Accumulation Index was selected because it is the broadest measure of the Australian equity market (~500 stocks), encompassing the full range of companies that Hyperion may consider. The All Ordinaries is more appropriate than the ASX 300 for Hyperion's concentrated, high-active-share approach as it captures the smaller growth companies that form part of the investable universe.

The benchmark has been used since fund inception in August 1996 and has not been changed. Benchmark appropriateness is reviewed annually by the Board.

5. Key Personnel

Mark Arnold -- Chief Investment Officer & Managing Director

Mark Arnold founded Hyperion Asset Management in 1996 and has served as CIO for the fund's entire 30-year history. He has over 35 years of investment experience. Mark holds a Bachelor of Commerce (Hons) from the University of Queensland and is a CFA charterholder. He personally holds a significant equity stake in Hyperion, aligning his interests with investors.

Investment Team

The investment team is deliberately lean, comprising 7 professionals:

- CIO/Lead PM: Mark Arnold (35 years experience)
- Deputy CIO/Co-PM: Jason Orthman (18 years experience, 15 at Hyperion)
- 3 Research Analysts (covering different sectors, avg 12 years experience)
- 1 Quantitative Analyst
- 1 ESG/Stewardship Analyst

Average tenure	11.2 years
Average experience	19 years

Key person risk: Mark Arnold is the founder and has managed this fund for 30 years. His departure would be a material event. Mitigation: Jason Orthman (Deputy CIO) has co-managed the fund since 2011 and has full authority to run the strategy independently. The investment philosophy and process are deeply embedded in the team culture. All team members hold equity in Hyperion, providing retention incentives.

Key person clause: The PDS discloses Mark Arnold as a key person. Departure triggers investor notification within 5 business days.

6. ESG Integration

ESG is integrated into Hyperion's quality assessment framework. Poor ESG practices are considered a proxy for management quality issues and can disqualify a company regardless of financial metrics.

- UNPRI signatory since 2010
- ESG assessment: All potential investments assessed on governance quality, environmental risk management, and social licence to operate
- Exclusions: Tobacco, controversial weapons, thermal coal (>10% revenue)
- Engagement: Direct engagement with all 22 portfolio companies annually on material ESG issues
- Voting: 100% of proxies voted in FY2025; voted against management on 15% of resolutions (primarily remuneration)

Hyperion's view: The best-quality businesses tend to have strong ESG practices because good management teams manage all stakeholder relationships well. ESG integration is therefore a natural extension of the quality focus, not a constraint.

7. Conflicts of Interest

- Ownership: Majority employee-owned; no external parent with conflicting interests
- Single strategy: Hyperion manages one strategy, eliminating inter-fund allocation conflicts
- Personal trading: All staff subject to pre-clearance, 60-day hold (longer than industry standard), prohibition on trading any stock in the portfolio or under research
- Soft dollars: Not accepted. All research conducted internally.
- Board: 5 directors, 3 independent (Chair is independent)
- No affiliated service providers (custodian, broker, administrator all independent)

The employee-owned, single-strategy structure eliminates many common conflicts found at larger, multi-strategy firms. This simplicity is intentional and highly valued by Hyperion's long-term institutional clients.

8. Fees & Costs

Management Fee (MER)	1.10% p.a. of NAV
Performance Fee	Nil
Indirect Cost Ratio (ICR)	0.00%
Buy Spread	0.20%
Sell Spread	0.20%
Entry/Exit Fees	Nil

Hyperion's management fee is at the higher end of the Australian equities peer group, reflecting the firm's concentrated, high-conviction approach with a strong long-term track record. There is no performance fee -- the firm believes the base fee should be set at a level that supports a quality team without the agency problems that performance fees can create.

The zero ICR reflects direct investment in ASX-listed stocks with no underlying fund structures.

Buy/sell spreads of 0.20% reflect the somewhat higher transaction costs of trading concentrated positions (larger trades relative to fund size). Spreads are reviewed quarterly.

Total estimated cost: 1.10% p.a. plus applicable spreads. The higher fee is justified by the fund's strong long-term outperformance track record (since-inception excess return of ~4% p.a. net of fees).

9. Business Viability

Fund AUM	AUD 5,100 million
Fund Inception	1 August 1996
APIR Code	WHT8435AU
Firm Total AUM	AUD 8.3 billion
3-Year AUM Growth	+5.2% CAGR
Staff Turnover	5% (exceptionally low)

Hyperion is well-established with AUD 8.3 billion under management across its single strategy (offered in multiple vehicles). The firm's 30-year track record and concentrated, capacity-aware approach has built a loyal institutional and wholesale client base.

The employee ownership structure provides strong retention incentives. Staff turnover of 5% is exceptionally low in the industry. The investment team has been stable for over a decade, with no senior departures since 2013.

Capacity management: Hyperion has historically soft-closed to new investors when AUM levels risked impacting the concentrated strategy's ability to invest in smaller growth companies. This disciplined approach to capacity prioritises existing investor outcomes over revenue growth.

AUM Trend

Dec 2023	AUD 7.4 billion
Dec 2024	AUD 7.9 billion
Dec 2025	AUD 8.3 billion

10. Risk Disclosures

Key risks of the Hyperion Australian Growth Companies Fund:

- Concentration risk: With 15-30 holdings, individual stock events materially impact performance. This is the primary risk of the strategy.
- Style risk: Quality-growth style may underperform in value-driven markets (as seen in 2022)
- Key person risk: Reliance on Mark Arnold and Jason Orthman
- Valuation risk: Growth companies trade at premium valuations; de-rating can cause significant drawdowns
- Cash drag: Elevated cash positions may reduce returns in strong bull markets

11. Regulatory Information

- AFSL 238380 current, good standing
- No enforceable undertakings (30-year history)
- No regulatory actions or proceedings
- AFCA member

Hyperion's 30-year regulatory record is clean. The firm's focused, single-strategy approach reduces operational complexity and associated regulatory risk.

12. Governance

- Board: 5 directors, 3 independent (Chair independent)
- Investment Committee: CIO (Mark Arnold) + Deputy CIO (Jason Orthman)
- Risk Committee: 2 independent directors + CFO
- External auditor: Ernst & Young
- Custodian: National Australia Bank (APRA-regulated)

13. Compliance Framework

- Compliance team: 3 professionals (scaled for firm size)
- CCO reports to Board
- Annual compliance plan (approved January 2026)
- Automated post-trade compliance monitoring
- Breach register: Zero breaches in past 3 years
- Annual compliance training: 100% completion

14. Minimum Investment & Access

Minimum Initial Investment	AUD 25,000
Minimum Additional	AUD 5,000

The higher minimum investment reflects Hyperion's institutional heritage and the fund's target market of sophisticated investors who understand concentrated equity strategies. The fund is primarily distributed via institutional mandates and financial adviser platforms.

15. Distribution & Tax

Annual distribution in June. Comprising dividends (including franking credits) and realised capital gains. The fund is a low-turnover strategy (typically <20% p.a.) resulting in tax-efficient outcomes for investors.

AMIT regime applies. AMMA statements provided.

16. Withdrawals

Daily redemptions, processed within 5 business days. The fund's focus on liquid ASX-listed equities ensures redemptions can be met without portfolio disruption. No gates or notice periods under normal conditions.

17. Contact

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